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## The AI Remedy: Rethinking the Fiscal Deficit in an Exponential Age

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I was listening to a podcast this morning where two macro thinkers I respect were discussing the U.S. fiscal deficit and how the recent Moody's downgrade had reignited a familiar debate: which asset class bears the brunt of this obvious imbalance? As is often the case, their conclusion pointed to equities as the likely casualty. While these were thoughtful and experienced voices, I wasn't surprised by their conclusion—just reminded of a recurring pattern. Many macro strategists seem predisposed to viewing equities as overvalued, largely because they rely on traditional business cycle frameworks that assume the next recession is always lurking just around the corner, triggered by mounting macroeconomic imbalances. Equities always seem to be the biggest risk.

But as I argued in last week's paper, recessions in today's digital economy aren't what they used to be. We now live in a world where a structurally large fiscal deficit—once a hallmark of a deep recession—exists with a resilient economy. We have a Federal Reserve armed with four letter acronym liquidity facilities at the first sign of systemic stress to prevent contagion. The old playbook from a fiscal and monetary perspective is outdated. This is the *math* argument against a recession. And I say math intentionally—because ever since I read Daniel Pink's *A Whole New Mind*, I've tried to remain open to creativity in math problems. In the book, Pink argues that we're using the wrong side of the brain entirely—clinging to left-brain logic in a world where the future is shaped by intuition, creativity, and nonlinear change. To some degree, it can be interpreted as a version of garbage in-garbage out.

The timing of that book was critical to how I began viewing macroeconomics. It came out in 2005, and I read it around the same time the iPhone was launched. That's why I like writing papers that draw on right-brain creativity to explore the future—even for something that appears as mathematical and rigid as the fiscal deficit. When change happens in a linear fashion—like a child growing up in front of your eyes—you often don't notice it happening. But now, change is anything but linear.

Adding to this structural shift in monetary and fiscal policy is the rise of a flexible labor force—fueled by smartphones, software platforms, and the normalization of remote work—which allows businesses to scale up or down more fluidly, muting the kinds of job shocks that once signaled downturns. Building on that idea—and continuing my belief that provocation cuts both ways—I want to flip the script and propose a new path toward reducing the fiscal deficit to 3%. Rather than focusing solely on cutting spending or raising taxes, we should seriously reconsider the denominator: nominal GDP.

What if, over time, GDP is simply being measured too low? If we properly accounted for the exponential value created by modern technology—especially AI—nominal GDP could potentially be revised significantly from its current size. AI allows us to do more with fewer inputs at an accelerating rate, and this compounding effect could lift measured output substantially in the coming years. In other words, solving the deficit might not require austerity—it might require better measurement.

This mismeasurement has broader implications, particularly in how we interpret market signals. Many investors and economists continue to expect a recession because traditional indicators—consumer confidence, ISM prints, delinquencies, and commercial real estate stress—continue to flash red. One of the most obvious data points that should have made people more cautious about mismeasurement came after one of the fastest rate hikes in history back in 2022: shockingly, nonfinancial corporate business net interest payments fell to near record lows, largely because tech companies held massive cash balances and carried far less debt than older industrial firms in the opposite position.

The equity market also tells this story in other ways, depending on where you look. Small-cap stocks, represented by the Russell 2000, have significantly underperformed both the S&P 500 and Nasdaq 100 since 2007—and the divergence has widened since the pandemic. That isn't noise. It's the market discounting a tale of two economies: one rooted in old models, debt, and rate sensitivity—lacking the culture, technology infrastructure, or balance sheet to adopt AI; the other flush with capital, embedded in the digital stack, and structurally positioned to benefit from AI. The Mag 7 tech giants—which dominate the SPX and NDX—are less exposed to interest rates and far more equipped to deploy AI at scale. So while economists continue to call for a broad downturn, markets are increasingly reflecting a structural shift—not a cyclical one.

This divergence between the two economies isn't limited to the private sector. It's just as stark in government. Much of Washington still operates in the analog world—defined by legacy systems, outdated metrics, and bloated administrative overhead. It's a government built around the assumptions of industrial-era GDP, not one that reflects the speed, complexity, or capabilities of the digital economy. The inefficiency is systemic, and it's costly. From the IRS to the Department of Veterans Affairs, antiquated systems slow everything down—verification, payment processing, fraud detection, procurement, benefits management. This is where AI could deliver enormous returns: by modernizing workflows, replacing manual processes with automation, and enabling real-time data analytics that hold bureaucracies accountable. In a sense, the public sector is the small-cap equivalent of the federal balance sheet—sluggish, debt-laden, and struggling to adapt—while the AI-powered private economy is racing ahead with margin expansion and productivity gains. That gap is now showing up in the fiscal deficit—and AI may be the only tool fast enough to help close it and the numbers are large based on estimates.

One of the largest and fastest-growing components of federal spending is healthcare—specifically, Medicare and Medicaid, which reached record levels in 2024. AI is poised to help here too, not just in administrative efficiency but in transforming the health outcomes themselves. Through advancements in diagnostics, personalized medicine, AI-driven drug discovery, and platforms like AlphaFold, we are moving rapidly toward a world where chronic disease is both more preventable and more manageable. And it goes further. Ray Kurzweil, the *Godfather of the Singularity*, has recently reiterated his forecast that humans could achieve biological immortality by 2030 through nanobots and cellular repair. As radical as it sounds, progress in understanding why we age—and how to slow or even reverse it—is accelerating, powered by AI. The implications for Medicare and Medicaid spending are profound. Longer healthspans, fewer hospitalizations, and delayed end-of-life care would significantly reduce entitlement costs—changing the shape of the federal budget. Again, the most important part of this is the forecasted time due to AI rapidly growing at a pace impossible to comprehend.

If we are indeed measuring GDP too low while also failing to anticipate dramatic reductions in future spending, then we're essentially living in a Truman Show-like environment—one where economists, investors, and policymakers are reacting to a distorted reality. Models built on historical data begin to fail, and efforts to forecast asset behavior or assess government solvency become misguided. It's no wonder many still expect equities to follow a traditional recessionary cycle—because in parts of the economy, recession signals are clearly flashing. But the U.S. economy is increasingly bifurcated. On one side, you have the modern economy—capital-light, AI-levered, debt-free, and margin-rich. On the other, you have smaller, rate-sensitive firms that are struggling to adapt. Understanding this divergence is key to understanding why the deficit story isn't as simple as it seems.

This challenge speaks to a deeper shift in how we need to think. In *A Whole New Mind*, Daniel Pink argued that the world is increasingly being shaped not by left-brain, analytical thinking, but by right-brain, creative, intuitive thinking. It's not just about spreadsheets anymore—it's about storytelling, synthesis, and seeing patterns that don't yet exist. Even AI doesn't know about these possible changes unless you ask the right question. This is the future and takes creativity and dreaming, not extrapolating the past. The economic revisions we constantly see are not simply technical updates; they are evidence that traditional models are struggling to keep up with a world that no longer moves in predictable, linear patterns. Younger generations, raised in digital chaos and fluid career paths, seem more attuned to this reality: the future is uncertain, and old tools won't work. Many of the most important technology builders of the past 30 years—Steve Jobs, Bill Gates, Elon Musk (for his PHD), Mark Zuckerberg—either dropped out of college or never finished. That isn't a rejection of knowledge, but of systems that constrain creativity. For truly creative thinkers, school and memorizing history can flatten original thought and suppress the kind of nonlinear imagination needed to build the future. This also touches the conversation around Bitcoin, but that's a discussion for another time. For now, one thing is clear: whether macro thinkers

want to admit it or not, AI is rewriting the rules. And the fiscal deficit, like everything else, is going to be redefined. Assets, as always, will reflect this ahead of the macro podcasts I listen to daily.

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